

Financial Contracts

My friend Jerry lives in a small town, the same town in which he was born and raised. Because Jerry's parents are no longer alive and many of his friends have left, he is seriously thinking of packing up and moving to a larger city. However, Jerry recently heard that there is a plan to build a major highway that will pass very close to his hometown. Because the highway is likely to bring new life to the town, Jerry is reconsidering his decision to move away. It has also occurred to Jerry that the highway may bring new business opportunities.

For many years, Jerry's family was in the restaurant business, and Jerry is thinking of building a restaurant at the main intersection leading from the highway into town. If Jerry does decide to build the restaurant, he will need to acquire land along the highway. Fortunately, Jerry has located a plot of land, currently owned by Farmer Smith, that is ideally suited for the restaurant. Because the land does not seem to be in use, Jerry is hoping that Farmer Smith might be willing to sell it.

If Farmer Smith is indeed willing to sell, how can Jerry acquire the land on which to build his restaurant? First, Jerry must find out how much Farmer Smith wants for the land. Let's say \$100,000. If Jerry thinks that the price is reasonable, he can agree to pay this amount and, in return, take ownership of the land. In this case, Jerry and Farmer Smith will have entered into a *spot* or *cash transaction*.

In a cash transaction, both parties agree on terms, followed immediately by an exchange of money for goods. The trading of stock on an exchange is usually considered to be a cash transaction: the buyer and seller agree on the price, the buyer pays the seller, and the seller delivers the stock. The actions essentially take place simultaneously. (Admittedly, on most stock exchanges, there is a settlement period between the time the price is agreed on and the time the stock is actually delivered and payment is made. However, the settlement period is relatively short, so for practical purposes most traders consider this a cash transaction.)

However, it has also occurred to Jerry that it will probably take several years to build the highway. Because Jerry wants the opening of his restaurant